

paying around \$1,900 per month in PITI, plus \$300 in PMI—which comes out to their maximum \$2,200 monthly mortgage payment.

Even before they start looking at homes in earnest, Alex begins browsing listing sites like Zillow and Redfin to see what houses in their price range might look like. The type of house they want—a three-bedroom, two-bathroom home with a two-car garage and small yard—is reasonably available within their price range, and some of the homes even have updated kitchens and master suites like they’ve always wanted!

Nothing comparable in their favorite neighborhood has ever sold for that price, so Alex starts exploring other options. There are adjacent areas that offer similar amenities, so they’re willing to budge on their “dream neighborhood” for the sake of getting everything else they want while staying within their price range.

Shelby also does some research on their current market. The city they want to live in is seeing appreciation rates higher than the national average of 3.4 percent, with a strong indication that this growth will continue—which only solidifies their choice to buy a house rather than continuing to rent.

Although their current lease is up in three months, they contact their landlord and ask to go on a month-to-month lease, and the landlord happily agrees for a \$250 per month increase in rent. While this feels like a lot of wasted money, Alex and Shelby know that it’s 100 percent worth it not to rush this major life decision.

Now that everything is ready to go, they decide to divide and conquer—Alex looks for a real estate agent while Shelby searches for a lender. They both get multiple recommendations from family, friends, and online resources, and they vet each option to find the best of the best.

They tell their chosen lender they’re willing to pay a maximum of \$2,200 per month, including PITI and any private mortgage insurance that might come along with their lower down payment. The lender confirms that the maximum home price they will be able to afford for that amount is somewhere around \$370,000. (This is a little more than they initially thought, since the lender offers stellar mortgage rates in comparison to the competition.) The couple sends all the necessary information, and they’re preapproved for a \$400,000 loan—but they know that they still won’t surpass the \$360,000 benchmark they set for themselves.